

Article | 10 July 2026

European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead



Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

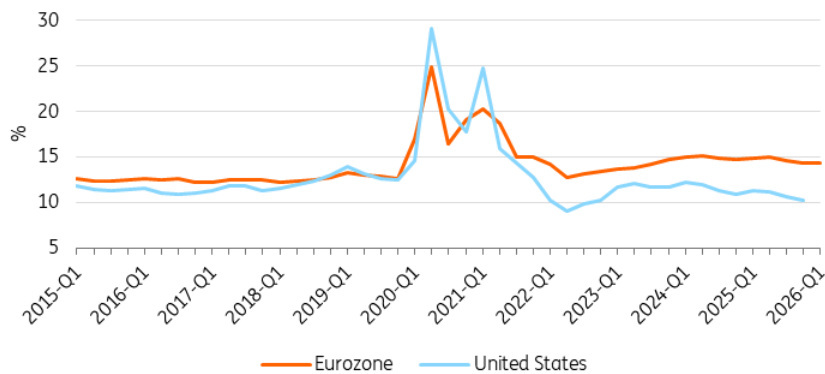
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the [exception of 2021](#) this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In [December](#), we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic [thinking](#) suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the [Bank of England](#) suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people ([chart 6, by age](#)). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups ([graph 6, by age group](#)). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

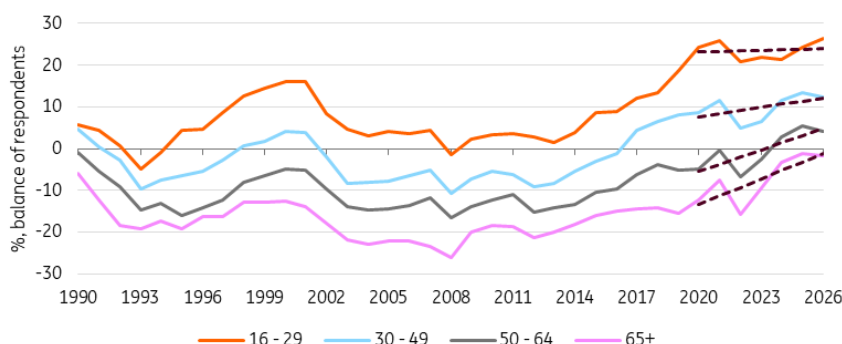
Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households

are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage debt growth [held steady](#), reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

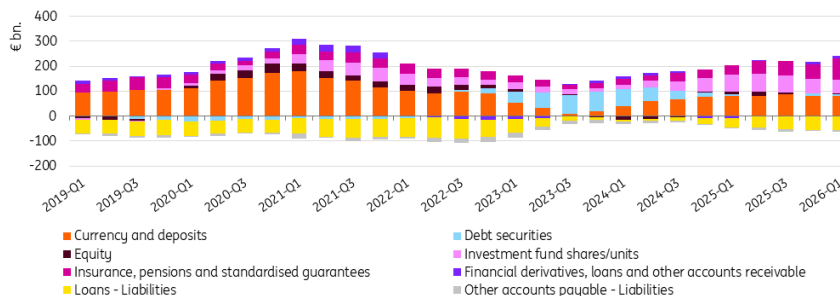
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

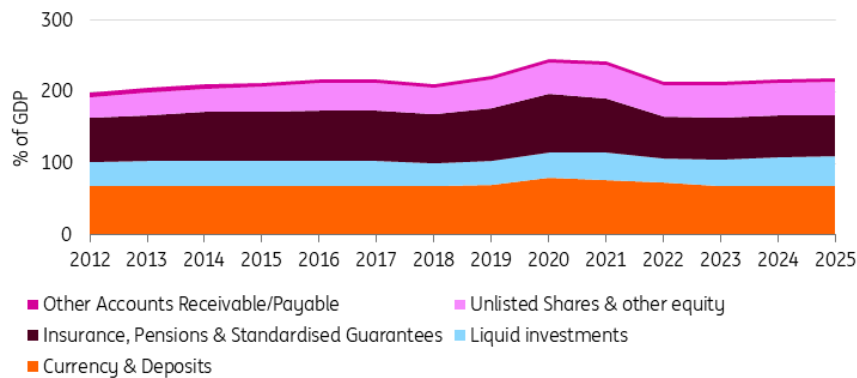
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market-linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's [pension reforms](#) and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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FX RATES FRANCE

France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the

2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

Charlotte de Montpellier

Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

Benjamin Schroeder

FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

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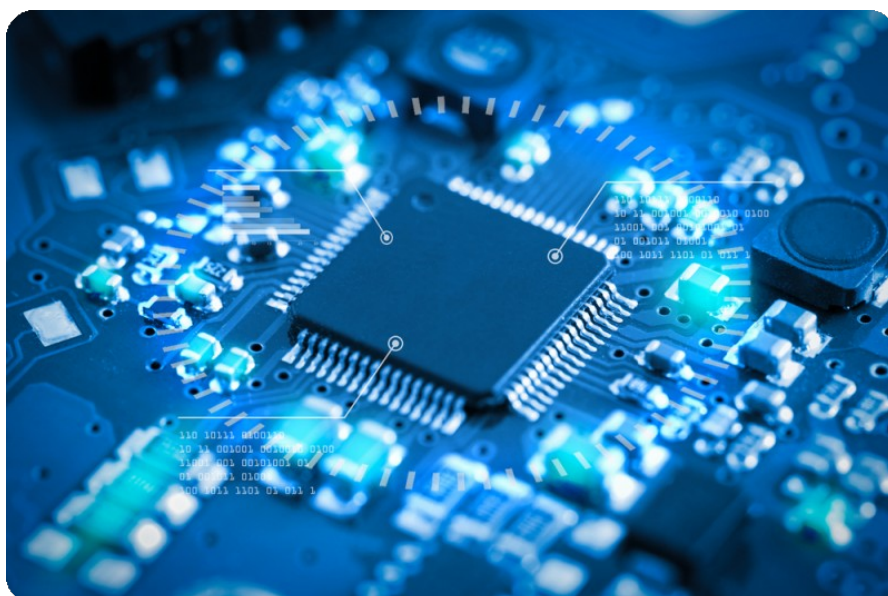
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Article | 7 July 2026

TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

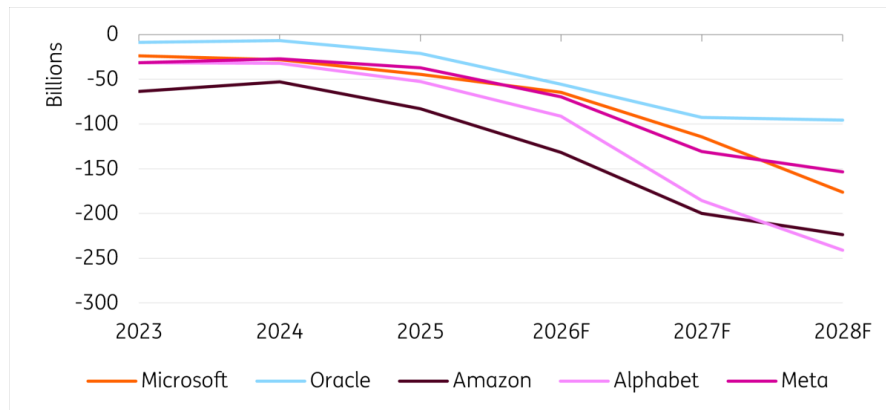
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

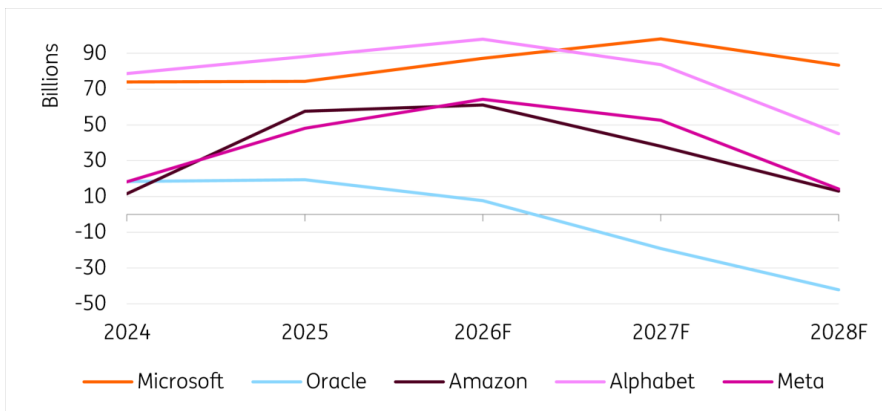
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

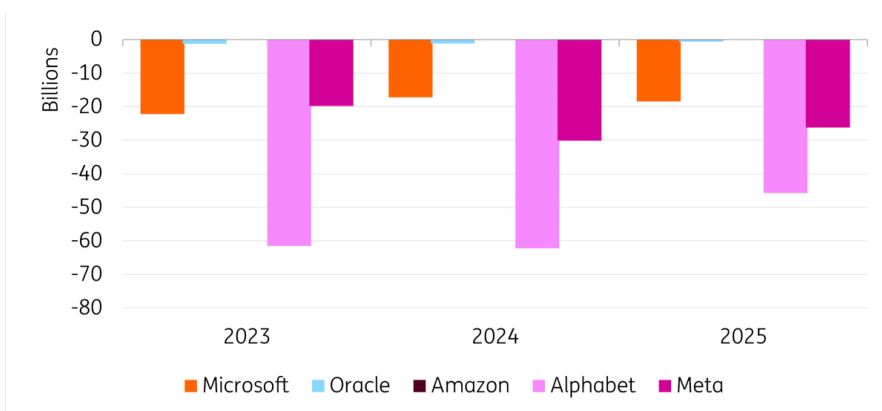
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 7 July 2026

FX

Treasury FX report preview: Manipulation thresholds not breached despite USD decline

The summer edition of the US Treasury's FX report (covering 2025) looks unlikely to label any country a currency manipulator, as no trading partner breached all three criteria despite USD depreciation, according to our estimates. Still, the Swiss National Bank may be turning more cautious on intervention to stay within the Treasury's thresholds



We do not expect the summer edition of the US Treasury's FX report to label any country as a currency manipulator

The US Treasury should publish the summer edition of its semi-annual Report on Foreign Exchange Policies of Major Trading Partners (the "FX Report") soon. The report is prepared under two legislations:

- The 1988 law requiring the Treasury to identify foreign exchange manipulators
- The 2015 law introducing three quantitative criteria (chart below) – thresholds have been revised over time – for evaluating trade and FX practices.

FX report criteria thresholds

Criteria	Threshold (4Q rolling)
Significant bilateral trade surplus with the US	>15\$bn goods and services surplus
Material current account surplus	>3% of GDP
Persistent, one-sided intervention	Net FX purchases for at least 8 of 12 months' worth >2% of GDP

Source: US Treasury, ING

No manipulator labels, unchanged monitoring list

The summer edition covers January-December 2025, with the Treasury set to assess the three quantitative criteria, which we attempt to replicate in the table below.

Our baseline assumption is that a country is labelled an FX manipulator if all three criteria are met. As no country appears to have breached all three thresholds, we expect no manipulator designations this summer.

The report also updates the Monitoring List for enhanced scrutiny, including countries meeting two criteria or contributing disproportionately to the US trade deficit. Removal typically requires missing two criteria for two consecutive reports. The January 2026 list included China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland and Switzerland, and we expect it to remain unchanged.

ING's estimates for the FX report's criteria

	Goods and services surplus with US (\$bn)	Current account balance (% of GDP, trailing 4Q)	Net FX purchases (% of GDP, trailing 4Q)	Net FX purchases (8 of 12 Months)
Mexico	203	-0.6	0.0	No
China*	202	3.7	-0.5	No
Vietnam**	178	6.4	-0.2	No
Taiwan	146	19.4	0.8	No
Ireland	114	8.2	-	-
Germany	73	4.5	-	-
Japan	64	4.9	0.0	No
India	58	-0.5	-1.3	No
Korea	57	6.7	-1.5	No
Canada	55	-1.0	0.0	No
Switzerland	32	6.4	0.6	Yes
Italy	32	1.1	-	-
Malaysia**	31	1.6	1.0	No
Thailand**	22	2.8	0.7	Yes
France	19	-0.3	-	-
Singapore	-4	16.7	3.1	Yes
Australia	-5	-2.7	0.0	No
Brazil	-14	-2.9	-0.2	No
UK	-32	-3.1	0.0	No

Figures in red are above the criteria's thresholds. Estimates are based on disclosed interventions when available or through the valuation-adjusted change in FX reserves, attempting to replicate the US Treasury's methodology.

*China's FX interventions estimated via monthly changes in the PBOC's foreign exchange assets ** Malaysia, Thailand and Vietnam convey intervention numbers privately to the Treasury, making it harder to estimate via FX reserves, we present ballpark estimates here. Source: ING estimates, Macrobond, IMF, Central bank disclosures

Context matters

The fundamental aim of the FX Report is to flag practices that artificially prevent appreciation of trading partners' domestic currencies, potentially granting a competitive trade advantage. This edition is notable as it cleanly captures 2025, a period of sharp USD depreciation, unlike the previous report, which mixed in late-2024 dollar strength.

A number of central banks stepped in with FX intervention to fight home currency appreciation in the Spring/Summer of 2025. This resulted in a slew of bilateral statements between the Treasury and other monetary authorities (Japan, Switzerland, Korea, Malaysia, Thailand, Taiwan), [which we discussed them in our previous edition's preview](#).

These agreements suggest, in our view, that the Treasury is not looking to designate manipulators at this stage. The dollar's rebound in 1H26 supports this, as intervention metrics should mechanically fall in the next report.

Switzerland keeping an eye on its metrics

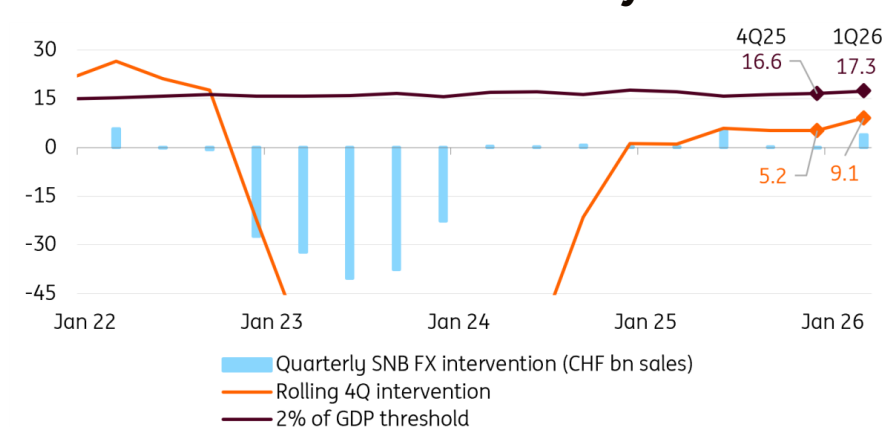
Taiwan, Switzerland and Thailand meet the trade surplus and current account criteria and, in our estimates, posted positive FX intervention in 2025, but remained below the 2% of GDP

threshold. Switzerland stands out, as CHF appreciation pressures re-emerged at the start of 2026.

The Swiss National Bank explicitly uses FX intervention as a policy tool. After heavy FX selling in 2023, it returned to purchases in 2025 to counter CHF strength. This drew scrutiny from the US Treasury, with a September 2025 joint statement clarifying that intervention is legitimate when aimed at curbing excessive volatility or disorderly moves and safeguarding price stability, rather than gaining a trade advantage.

However, it remains unclear whether this shields Switzerland from FX Report scrutiny if intervention exceeds the 2% threshold, leaving some uncertainty for the SNB. Official data show intervention at CHF 5.2bn (0.5% of GDP) in 2025 and CHF 9.1bn (0.8% of GDP) over the four quarters to 1Q26, versus a rolling 4Q threshold just above CHF 17bn.

SNB FX intervention and Treasury's threshold



Source: SNB, ING

All this could make the SNB more cautious on intervention, as markets may assume policymakers want to avoid breaching the threshold and potentially reigniting trade tensions with the US. This might fuel bullish CHF speculative bets if intervention is seen as constrained.

It helps explain why we do not expect significant CHF weakness over the next year. The SNB may only step in aggressively if EUR/CHF trades aggressively sub-0.90.

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 30 June 2026

AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

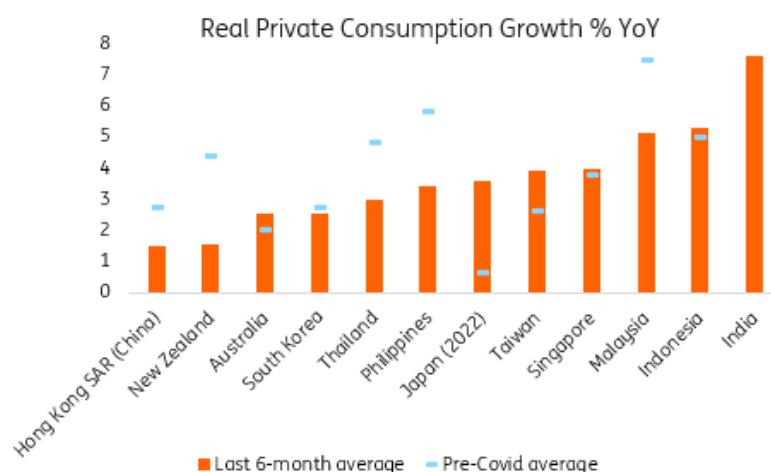
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

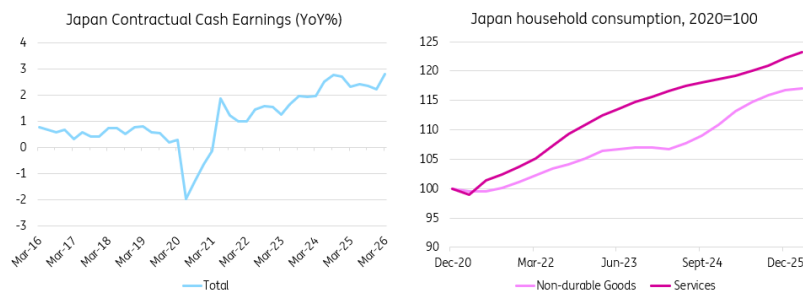
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households-primarily the top 10–20% who already have greater exposure to risk assets.

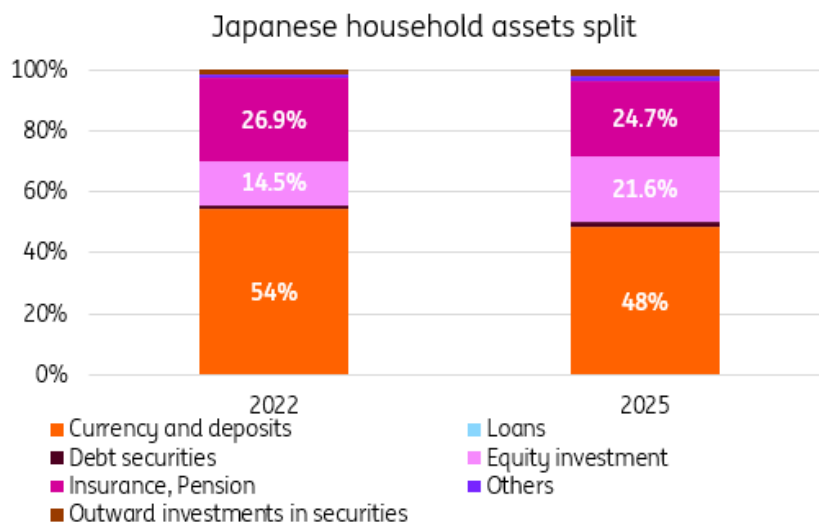
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

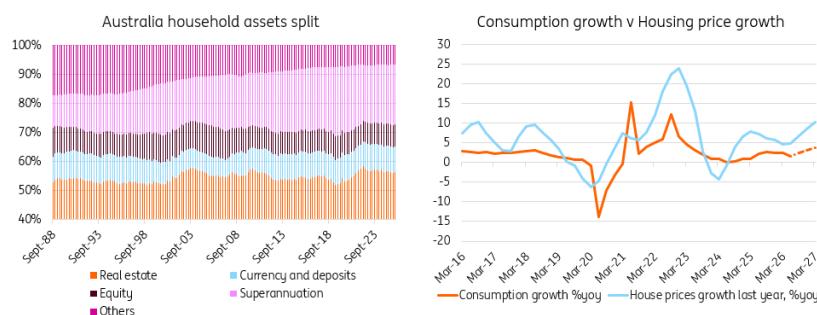
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

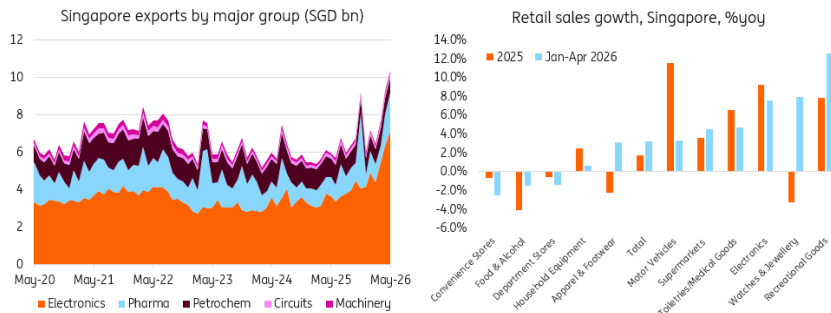
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



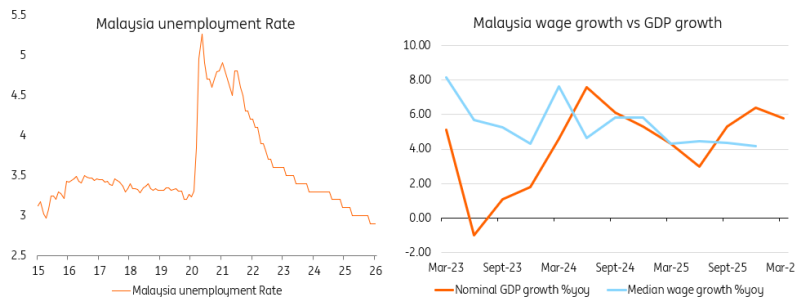
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

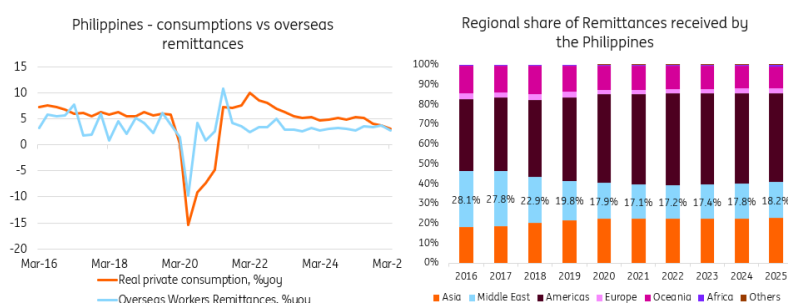
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

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ENERGY

Why the grid could make or break the electro-tech revolution

Electricity is becoming a stronger economic growth engine, powering AI data centres, EVs, heat pumps and industrial decarbonisation. But grids aren't keeping up. Connection delays of four to nine years highlight the importance of heavy electricity users in making their demand smarter and more flexible



The 136.8km Xiangjian-Ludao 500-kV power transmission line in China's Anhui Province

Today's electro-tech revolution has a grid problem

The global economy is shifting from *molecules* to *electrons*. That is, relying less on burning fuels and more on electricity to power growth – largely thanks to technological advancement. This shift is increasingly known as the '[electro-tech revolution](#)'.

You can see it everywhere: AI data centres are driving a surge in electricity demand; vehicles are increasingly electric rather than gasoline-powered; buildings are switching to electric heat pumps; and industries are beginning to replace fuel combustion with electric processes.

The scale of this shift is significant. The International Energy Agency expects new electricity uses to add more than [10,000TWh](#) of demand between 2024 and 2035, around 50% more

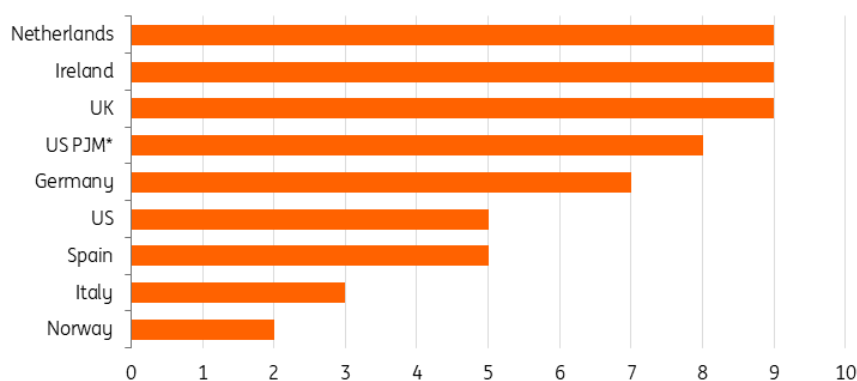
than the increase seen between 2013 and 2024.

But the grid is becoming a real bottleneck. In many parts of the world, there is not enough capacity to move electricity from where it is generated to where it is needed, especially during peak demand hours or when solar and wind output is high.

This is known as **grid congestion**. Its most direct consequence is that both power producers and large electricity consumers **need to queue up to be connected to the grid**. Lead times for new grid connection differ strongly by location, but in several developed markets they can range from four to nine years. Moreover, power producers with excess generation might be curtailed or receive lower (even zero) prices for their production.

Grid connection queues can easily stretch 5+ years in Western economies

Average years needed to get any new grid connection in selected jurisdictions

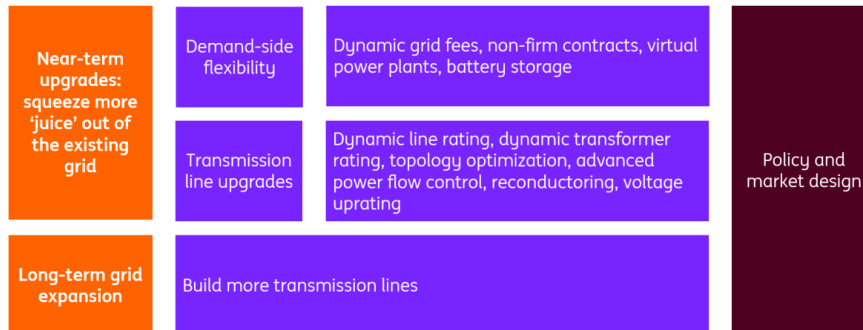


Source: ING Research, Rocky Mountain Institute, Berkeley Lab, Ember Energy.

*The US PJM power market is the largest wholesale power market in the US operated by PJM Interconnection. It includes major demand centres like Pennsylvania, New Jersey, Maryland, Illinois, Ohio, and Washington DC.

That has real economic consequences. Power projects can face delays, undermining financing and development timelines. Large users such as data centres, manufacturers, logistics companies, and real estate developers may have to postpone expansion or decarbonisation plans. This also comes at a high cost to society. [Research](#) for the Netherlands, for example, suggests that the economic value that could be created with an additional MWh of electricity is around 35 times higher than the cost of supplying that MWh. When grid congestion prevents that electricity from being delivered, that value remains unrealised.

Short and long-term solutions that can support grid enhancement



Source: ING Research

How grid capacity can be enhanced: quick wins and long-term planning

The good news is that this is not a problem without solutions.

In the **near term**, the priority should be to get more capacity out of the existing grid, even if that requires changes to long-established market rules. Businesses in regions with grid congestion can no longer assume unlimited power access and will need to become more flexible in electricity use to ensure timely expansion.

The **long-term** solution is expanding the grid, building new transmission lines, substations, and digital infrastructure. This solution is a lot more capital intensive and takes longer to realise, but successful early planning and investment can have tremendous compounding benefit over decades.

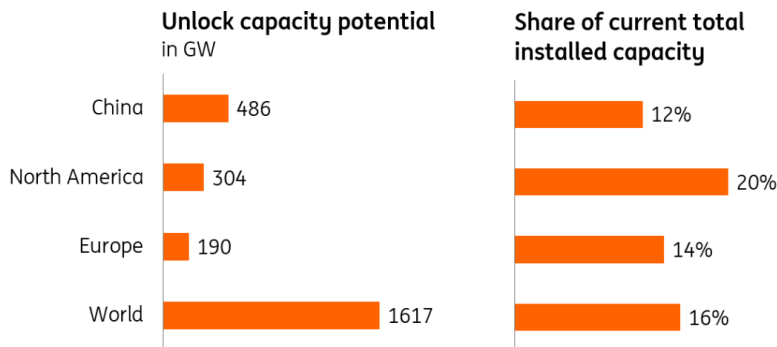
1. Near-term upgrades: squeezing more 'juice' out of the existing grid

When thinking about raising grid capacity, one might envision building new infrastructure. That works in the long term, but the quickest gains come from better usage of the existing grid.

To achieve that, two mechanisms stand out: **demand-side flexibility** and **transmission line upgrades**. These options could together unlock up to 1,600GW of additional capacity globally, equal to over 15% of today's installed power capacity. These solutions are critical for companies needing power in the near term, as they require less capital and can be rolled out more quickly.

Significant grid capacity can be unlocked through improving the existing infrastructure

Capacity potential in GW, share in %



Source: ING Research, International Energy Agency, US Energy Information Administration, Statbase, China National Energy Administration, Eurelectric

Demand-side flexibility

Grid constraints often arise because transmission capacity is insufficient during peak hours, despite spare capacity at other times. As utilities increasingly offer faster connections to flexible users, electricity-intensive companies should build flexibility into their energy planning.

Below are some effective ways to enhance demand-side flexibility:

- **Dynamic grid fees** use price signals to ease congestion. Similar to spot power markets, where prices reflect real-time conditions, grid tariffs can be made higher when the network is constrained and lower when capacity is available. This allows heavy electricity users to reduce grid costs by shifting consumption to off-peak hours. It is suitable for automated operations that can reschedule power use without affecting daily output (e.g., cement plants, pulp mills).
- **Non-firm contracts** provide a more structured version of the same principle. Instead of guaranteeing grid access at all times, these contracts reduce peak-hour demand while allowing more electricity use during non-peak periods. For electricity users that can shift demand, this can mean faster grid connection, lower costs, or both.
- **Virtual power plants (VPPs)** aggregate distributed resources, like EVs and flexible industrial loads (e.g., air compressors, hydrogen electrolysis), so they can shift demand and discharge stored power when needed. The collective opportunity is significant: US VPP capacity reached [38GW](#) last year, equal to 6% of average peak demand in late June this year. Nevertheless, today's active VPP usage is only a fraction of its capacity. The opportunity now lies in scaling and design improvement. Doubling capacity could have a significant impact, making early engagement important for corporates. Google's recent [partnership](#) with VPP operator Voltus highlights growing interest in the space. Looking

ahead, AI can help optimise VPP design by enabling more advanced demand-shifting solutions.

- **Utility-scale batteries** add flexibility by storing excess power and discharging during peak demand. Increasingly, they are valued not only for supporting generation but also for managing grid congestion. Dynamic grid fee pricing and non-firm contracts both encourage investment in battery storage. Batteries also improve grid stability through ancillary services (frequency stabilisation), helping operators balance the system more efficiently while improving battery asset revenue streams.

Vehicle-to-grid remains promising, but not yet scalable

Vehicle-to-grid (V2G) is often highlighted as a building block of future VPPs. In theory, EVs could act as a sizeable distributed battery fleet, but in practice, adoption remains limited.

Much of the challenge lies with carmakers. To protect battery warranties, manufacturers often cap V2G usage to a few hundred hours over a vehicle's lifetime, limiting V2G's economics. Grid operators are also cautious. EVs are mobile and not always plugged in, making their availability uncertain. Technical design adds further complexity, including whether to place the [inverter](#) inside the EV or outside by the chargers.

These constraints explain the slow progress. Without stronger policy support, other measures like demand response and stationary storage would play a more immediate role.

Transmission line upgrades

- **Dynamic line rating (DLR)** is a good example of how **software** improvement can free up existing grid capacity. Think of the grid as a road, where a fixed traffic limit always assumes the worst road conditions. DLR would raise that limit when grid conditions are good, allowing more electricity to flow safely. In the US, Ameren is [working](#) with Heimdall Power to test this technology on congested lines.
- **Hardware** upgrades can also help. **Advanced conductors** use new materials and designs to carry more electricity through existing infrastructure, sometimes doubling capacity. CTC Global has announced a [partnership with Google](#) to deploy next-generation conductors.

2. Long-term expansion: building more transmission lines

While near-term grid enhancement strategies should focus on using the existing grid more effectively, this does not negate the need for grid expansion. The power system of the future will require denser, higher-voltage, and more digital networks. However, grid expansion is highly capital intensive and can take up to a decade. For grid expansion to be cost-effective, new capacity needs to be built where power demand is growing. This helps keep grid utilisation high and lowers costs per MWh.

That is why early investment and careful planning matter. Capital deployed today based on systemic research of future demand can have large compounding benefits in a decade's time.

China leads, while the US and Europe try to catch up

Governments' ability to better utilise and expand grid infrastructure will increasingly shape business growth and national competitiveness.

China has outpaced the US and Europe, as centralised planning has enabled large-scale deployment of ultra-high-voltage lines. China now has the world's largest power grid: it has over 12 million km of transmission lines, thousands of which are of ultra-high-voltage. It also has a younger asset base, with 40% of its transmission lines built within 10 years (vs 20% in the US and 30% in the EU).

But China's grid still faces pressure from rapid renewable development and electrification. So the country continues to enhance its grid, meanwhile streamlining interconnection approvals. This keeps grid lead times shorter than in the West, giving China an edge in advancing strategic ambitions like AI.

The **US** is under greater grid strain from ailing infrastructure, underinvestment, and surging data centre demand. This is compounded by slow interconnection processes. While reforms are underway, their full impact is not yet material. US policy (rightfully) focuses on maximising existing capacity; the Department of Energy committed \$1.9bn in March to accelerate upgrades, and the [Federal Energy Regulatory Commission \(FERC\)](#) in June mandated reforms from grid operators. It marks a meaningful federal move to accelerate grid access for data centres, while ensuring they contribute to grid flexibility in return.

Europe also faces substantial grid congestion. It is addressing it through both near and long-term solutions. For the near term, demand flexibility mechanisms dominate. By late 2025, 15 member states offered non-firm agreements. Many are also prioritising interconnection for projects that improve grid flexibility. For the long term, the EU's Grid Package targets €472 billion in investment to expand transmission capacity by 50% by 2040. This level is only about a third of what is needed, but does represent a significant step. The real challenge is execution, which highly relies on reducing cross-border regulatory hurdles.

In short, grid availability has become a key consideration for large electricity consumers. Many cannot afford to wait years before pursuing their growth plans. China's leading position gives it an advantage in attracting investment. Western economies are playing catch-up in aligning grid capacity with business leaders' investment horizons – and we do think their efforts would pay off.

For businesses, flexibility brings faster power access

Corporates in the US and Europe with plans to expand their footprint need to proactively be more flexible in power demand. The upside is getting connected to the grid faster, securing better rates, and improving the business case for growth. The Netherlands' transmission system operator [TenneT](#) last year fast-tracked grid connection for 57 flexible users, including battery parks and hydrogen electrolyzers. In the US, [Portland General Electric](#) used Gridcare's software to find unused grid capacity that would be made available to flexible data centres.

- Large, energy-intensive companies with high capex plans would benefit from deploying batteries or on-site generation to increase flexibility.
- Smaller companies, or firms with multiple sites, can work with flexibility-as-a-service providers or VPP operators.
- Data centres and other less flexible users will need a mix of batteries and demand optimisation. Our [analysis](#) shows that data centres can shift time-flexible workloads, such as machine learning, while batteries can provide flexibility across more workloads.

Demand-side flexibility can also deliver societal benefits. In the Netherlands, large electricity users pay around €100/MWh, while grid constraints can cost society €3,500/MWh in lost economic value. The impact is even greater when housing delays, slower electrification, and missed decarbonisation benefits are included. This means even relatively expensive measures, such as adapting industrial operations, may be worthwhile. It also strengthens the case for policy support to scale grid flexibility technologies and practices.

In summary, the electro-tech revolution will only scale if the grid can keep up. That requires more investment in new infrastructure, but also smarter use of what already exists. For policymakers, grid policy is now industrial policy. For grid operators, flexibility can buy valuable time. And for businesses, managing electricity demand is not just an operational issue. It is becoming central to competitiveness, decarbonisation, and growth.

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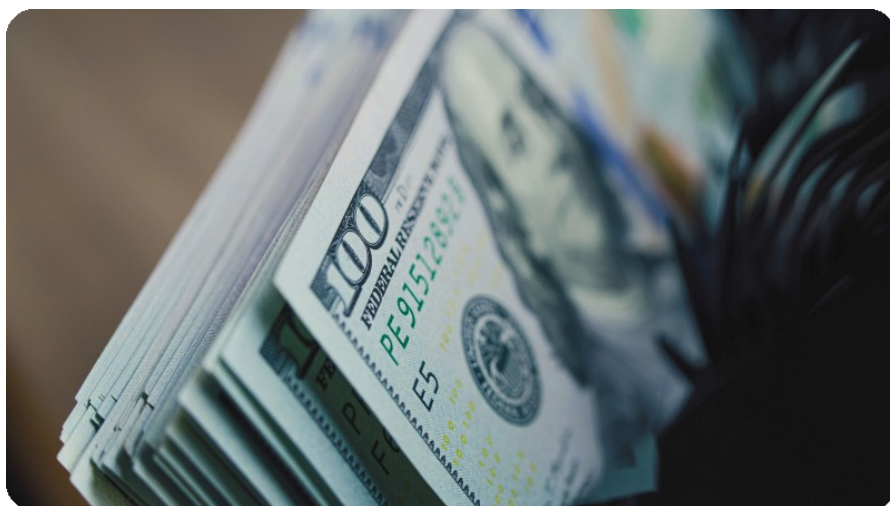
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FX

FX Daily: Fading geopolitical risk, focus on rate differentials

A week of revamped Middle East tensions has left the dollar broadly unchanged. Oil prices have come back lower, allowing risk sentiment and high-yielding EM FX to rebound. The risk is clearly that markets are too sanguine, but fading has been the successful strategy so far, and markets understandably remain laser-focused on front-end rate differentials



The dollar is finding no support from a re-escalation in the Middle East

➔ USD: Stuck as markets fade geopolitical risk

Markets are taking a decisively optimistic stance on fresh US-Iran tensions. Multiple reports indicate traffic in Hormuz has dropped to almost zero in the past couple of days, and we have seen effectively no intent of de-escalation from either party.

The US is reportedly striking Iranian bridges for the first time since April, and Iran is threatening a new full Hormuz blockade. Yet investors are probably clinging on to the fact that technical talks between the two parties are continuing, and Brent has dropped back to \$76/bbl after briefly touching \$80 on Wednesday, dragging front-end rates lower. The 2-year USD swap rate has erased roughly half of the 10bp jump after the re-escalation – 35bp of tightening is currently priced in for December.

The dollar is seeing no benefits from this situation. Fading geopolitical risk means continuous

focus on rate differentials, which have moved against USD in some instances (e.g., vs the euro) by revamping hawkish expectations abroad. Incidentally, the recovery in risk sentiment yesterday prompted a decent rebound in high-yielding EM FX after an unwinding of carry trades earlier this week.

The risks here are obvious. Investors may be underestimating the chance of a new Strait of Hormuz closure and non-linear oil spikes. The balance of risks remains on the upside for the dollar, although only a modest pick-up in oil prices and markets rapidly turning to headline fatigue would probably leave DXY pretty much where it is now. The data calendar is quiet in the US today, and there are no scheduled FOMC speakers.

This morning, the yen rallied to 161.5 after Japanese Finance Minister Satsuki Katayama made a rare appeal for Japan's pension funds to increase domestic asset holdings. The FX reaction was probably exacerbated by stretched short positioning (35% of open interest, according to the latest CFTC figures), and it seems unlikely to drive a sustainable JPY recovery on its own. With appetite for JPY-funded carry trades intact after Wednesday's wobble, risks remain on the upside into the next round of intervention for USD/JPY.

Francesco Pesole

➔ **EUR: Don't downplay downside risks**

The Middle East military re-escalation has prompted a moderate re-tightening in EUR/USD short-term swap rate differentials. In the two-year tenor (often the best correlated with FX moves), that has been worth roughly 10bp. That spread is still 50bp wider than its April peak, when markets bet heavily on ECB tightening but not on the Fed's, but only 15bp wider than before the war.

While all this is injecting new confidence into previously dwindling expectations for a September ECB hike, the path for EUR/USD to come out stronger from this re-escalation is quite narrow. We expect stabilisation today – with markets potentially wanting to wait for weekend clarity – but risks are of a retest of 1.140.

Francesco Pesole

➔ **CAD: Jobs data in focus, BoC to stay cautious**

Canada releases jobs data for June today. Expectations are for a marked slowdown in hiring to 10k after May's big 88k, with unemployment staying at 6.6%. The focus will be on permanent employees' hourly wages, which are expected to increase from 3.2% to 3.6%.

We think the bar for a material hawkish turn by the Bank of Canada is high, and we don't expect surprises at next week's meeting. Unless oil rallies back to April-May levels, the inflation outlook remains too benign to hike, especially considering downside risks for jobs and activity

related to USMCA uncertainty.

For now, some revamped BoC hawkish bets and some support for oil prices are helping CAD, which is outpacing USD this week. We still think USMCA-related risk premium can be added throughout 3Q and don't expect a return below 1.40 in the next couple of months.

Francesco Pesole

📉 CEE: Rates repricing points to more zloty weakness

Yesterday's National Bank of Poland meeting added another dovish impulse for markets. The Governor stated that he is more dovish than the rest of the MPC and could propose a rate cut as early as September if inflation remains under control. With no NBP meeting in August, this puts September firmly in focus.

While the NBP turned dovish a month ago, this was a new signal for markets and prompted a shift from pricing no cuts to around 20bp of easing across the FRA curve and roughly a 50% probability of a September cut. As we've previously discussed, EUR/PLN has been driven mainly by rate differentials in recent weeks, reflecting both the strong local story and the impact of a dovish NBP. We therefore see yesterday's EUR/PLN move as justified by rates, but further upside is possible if the market prices a full cut, or more. In our view, 4.340 could be the next level, and we remain bearish on the zloty – the outlier in CEE, as we remain bullish on the koruna and forint.

Elsewhere in the region, final Czech June inflation is due today. Headline CPI should be confirmed at 1.5%, well below the CNB's 2.1% forecast and its 2% target. The key focus, however, will be core inflation, which we estimate was broadly unchanged at 2.8-2.9% and remains the main concern for the Czech National Bank. Any surprise here could shape the next move in rates and EUR/CZK. Still, after EUR/CZK returned to 24.250, we see more downside risk given the CNB's hawkish tone.

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RATES SPARK

Rates Spark: Sentiment looking through geopolitical risks

Rate markets are still following the standard playbook, which means the higher oil prices are keeping inflation expectations and thus nominal rates elevated. Risk assets, however, seem to look through a revival of geopolitical worries, and Bunds do not seem to benefit from the return of market volatility



Recent higher oil prices are keeping inflation expectations and nominal rates elevated

Risk sentiment looking through surge in oil prices already

Sentiment remains in a very optimistic mood and already seems willing to look through the latest setbacks in Iran. This week's oil spike initially triggered some volatility in risk assets, but we see European government bond spreads tighter again and the VIX is also practically back to where it was before. Despite a nudge lower, oil prices still remain significantly higher than before, but this doesn't seem to change the broader market outlook.

Markets' inflation expectations also remain higher than at the start of the week as rates are following the standard playbook. Oil prices are directly linked to near-term inflation expectations and are thereby adding to the upward pressure on nominal rates, especially at

the front end of the curve. We're bracing for more volatility going forward as oil prices react to new geopolitical developments. If anything, the risk seems tilted to the upside, because as long as the Strait of Hormuz remains under threat, supply constraints will start to intensify.

An important question is whether growth indicators will also react to the latest moves in oil. From an inflation perspective, the pass-through is obvious, but this time round, business sentiment might not be as sensitive to the latest headlines. If PMIs, for example, manage to continue recovering, then that would add to the upward pressure on rates. In effect, that would reassure European Central Bank members that taking a more hawkish approach may not be as damaging.

More effort needed to not have Bunds safe haven status challenged

While markets saw a brief risk-off moment, a common hedge for such a scenario has not performed well. At least away from the front end, Bunds initially even cheapened versus swaps, with the switch to a new benchmark also muddying the picture somewhat.

Since the start of the month, the news flow around Germany itself has been pulled in both directions, one could argue. On the one hand, the government's reform drive seems to be finally gaining momentum, tackling important issues such as pension reform to ensure the long-term viability of its finances.

On the other hand, the government has increased its borrowing plans for the years through 2030 by another roughly €50bn, taking the overall net borrowing from 2026 through 2030 above the €1tr mark.

However, both developments are perhaps not quite as impactful as the headlines suggest. The borrowing plans were always surrounded by upside risks, especially on the back of macro headwinds posed by the geopolitical backdrop and the higher financing costs as rates increased. As for the reforms, rating agency Fitch has just commented that the reform push was "positive, but not transformative" and is "unlikely to materially improve Germany's weak medium-term growth prospects or fully address deeper competitiveness challenges." Here, markets are currently confronted with headlines that underscore the struggles of the influential automotive sector.

Looking at a set of various short and longer-term regression model approaches for the 10y spread over OIS, we see Bunds not particularly undervalued at the moment, on the cheap side but within one standard deviation and moving in line with other market risk indicators. The longer run still poses headwinds, though, with Germany's structural issues, growing supply and ongoing quantitative tightening. On the latter, the recent quarter-end has shown indications of growing tightness in some corners of the short-term funding markets that will eventually lead to a more material rise in repo rates as the ECB's bond portfolio melts off.

The latest headline that Japanese pension funds are encouraged to invest more domestically could also chip away at the demand side, though within EGBs it is likely to impact France more given the distribution of the funds' holdings.

Friday's events and market view

No notable data is scheduled. Geopolitical developments will likely continue to drive oil and thus rates markets.

Italy will auction 3y BTP, New 7y BTP and 15y BTP for a total of €7.5bn.

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